# GOODWILL

## Learning Outcome

- explain the financial reporting and disclosures related to goodwill

When one company acquires another, the purchase price is allocated to all of the identifiable assets (tangible and intangible) and liabilities acquired, based on fair value. If the purchase price is greater than the fair value of the identifiable assets and liabilities acquired, the excess amount is recognized as an asset, **goodwill**. To understand why an acquirer would pay more to purchase a company than the fair value of the target company's identifiable assets net of liabilities, consider the following three observations. First, certain items not recognized in the acquiree's financial statements (e.g., its reputation, established distribution system, trained employees) have value. Second, a target company's expenditures in research and development may not have resulted in a separately identifiable asset that meets the criteria for recognition but nonetheless may have created some value. Third, part of the value of an acquisition may arise from improved strategic positioning versus a competitor or from perceived synergies such as operating cost saving opportunities after the acquisition.

The subject of recognizing goodwill in financial statements has both proponents and opponents. The proponents of goodwill recognition assert that goodwill is the present value of excess returns that a company is expected to earn. This group claims that determining the present value of these excess returns is analogous to determining the present value of future cash flows associated with other assets and projects. Opponents of goodwill recognition claim that the prices paid for acquisitions often turn out to be based on unrealistic expectations, thereby leading to future write-offs of goodwill.

Analysts should distinguish between accounting goodwill and economic goodwill. Economic goodwill is based on the economic performance of the entity, whereas accounting goodwill is based on accounting standards and is reported only in the case of acquisitions. Economic goodwill is important to analysts and investors, and it is not necessarily reflected on the balance sheet. Instead, economic goodwill is reflected in the stock price (at least in theory). Some financial statement users believe that goodwill should not be listed on the balance sheet, because it cannot be sold separately from the entity. These financial statement users believe that only assets that can be separately identified and sold should be reflected on the balance sheet. Other financial statement users analyze goodwill and any subsequent impairment charges to assess management's performance on prior acquisitions.

Under both IFRS and US GAAP, accounting goodwill arising from acquisitions is capitalized. Goodwill is not amortized but is tested for impairment annually. If goodwill is deemed to be impaired, an impairment loss is charged against income in the current period, reducing earnings. An impairment loss also reduces total assets, so some performance measures, such as return on assets (net income divided by average total assets), may increase in future periods. An impairment loss is a non-cash item.

Accounting standards' requirements for recognizing goodwill can be summarized by the following steps:

**Step 1:** The total cost to purchase the target company (the acquiree) is determined.

**Step 2:** The acquiree's identifiable assets are measured at fair value. The acquiree's liabilities and contingent liabilities are measured at fair value. The difference

target company over (2) the net identifiable assets acquired. Occasionally, a transaction will involve the purchase of net identifiable assets with a value greater than the cost to purchase. Such a transaction is called a "bargain purchase." Any gain from a bargain purchase is recognized in profit and loss in the period in which it arises.[3]

Rate Your Confidence

Companies are also required to disclose information that enables users to evaluate the nature and financial effect of business combinations. The required disclosures include, for example, the acquisition date fair value of the total cost to purchase the target company, the acquisition date amount recognized for each major class of assets and liabilities, and a qualitative description of the factors that make up the goodwill recognized.

Category
**Analyzing Balance Sheets**

Despite the guidance incorporated in accounting standards, analysts should be aware that the estimations of fair value involve considerable management judgment. Values for intangible assets, such as computer software, might not be easily validated when analyzing acquisitions. Management judgment about valuation in turn affects current and future financial statements because identifiable intangible assets with definite lives are amortized over time. In contrast, neither goodwill nor identifiable intangible assets with indefinite lives are amortized; instead, as noted, both are tested annually for impairment.

The recognition and impairment of goodwill can significantly affect the comparability of financial statements between companies. Therefore, analysts often adjust the companies' financial statements by removing the impact of goodwill. Such adjustments include the following:

- excluding goodwill from balance sheet data used to compute financial ratios, and
- excluding goodwill impairment losses from income data used to examine operating trends.

In addition, analysts can develop expectations about a company's performance following an acquisition by taking into account the purchase price paid relative to the net assets and earnings prospects of the acquired company.

## Goodwill Impairment

Safeway, Inc., is a North American food and drug retailer. On 25 February 2010, Safeway issued a press release that included the following information:

- Safeway Inc. today reported a net loss of USD1,609.1 million (USD4.06 per diluted share) for the 16-week fourth quarter of 2009. Excluding a non-cash goodwill impairment charge of USD1,818.2 million, net of tax (USD4.59 per diluted share), net income would have been USD209.1 million (USD0.53 per diluted share). Net income was USD338.0 million (USD0.79 per diluted share) for the 17-week fourth quarter of 2008.
- In the fourth quarter of 2009, Safeway recorded a non-cash goodwill impairment charge of USD1,974.2 million (USD1,818.2 million, net of tax). The impairment was due primarily to Safeway's reduced market capitalization and a weak economy. . . . The goodwill originated from previous acquisitions.
- Safeway's balance sheet as of 2 January 2010 showed goodwill of USD426.6 million and total assets of USD14,963.6 million. The company's balance sheet as of 3 January 2009 showed goodwill of USD2,390.2 million and total assets of USD17,484.7 million.

**1.** How significant was this goodwill impairment charge?

Hide Solution

and 11 percent of total assets, so it was clearly significant. (The charge of USD1,974.2 million equals 82.6 percent of the USD2,390.2 million of goodwill at the beginning of the year and 11.3 percent of the USD17,484.7 million total assets at the beginning of the year.)

**2.** With reference to acquisition prices, what might this goodwill impairment indicate?

Hide Solution

**Solution:**

The goodwill had originated from previous acquisitions. The impairment charge implies that the acquired operations are now worth less than the price that was paid for their acquisition.

Rate Your Confidence

Category

**Analyzing Balance Sheets**

As presented in Exhibits 2 and 3, SAP's 2017 balance sheet shows EUR21,274 million of goodwill, and Apple's 2017 balance sheet shows goodwill of USD5,717 million. Goodwill represents 50.1 percent of SAP's total assets and only 1.5 percent of Apple's total assets. An analyst may be concerned that goodwill represents such a high proportion of SAP's total assets.

Discuss Filter

Discussion

What do you want to discuss... (required)

FA Can someone kindly explain the Goodwill impairment for question 1 what happened?

Created 4 months ago by Fatma Aghaei 2 replies | Last Activity: 4 months ago

Show All replies Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.

Rate Your Confidence

Category

**Analyzing Balance Sheets**

Rate Your Confidence

Category

**Analyzing Balance Sheets**